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Commercialized  
cloud services for  
hardware  
innovators

Startup Cemetery

#### GENERAL INFORMATION

Category: Design

Country:  
United Kingdom

Started: 2005

#### BUSINESS FAILURE

Outcome: Shut Down

Cause: No Market Need

Closed: 2014

#### FOUNDERS & EMPLOYEES

Number of Founders: 1

Name of Founders:  
Matt Webb

Number of Employees:  
10-50

#### FUNDING

Number of Funding  
Rounds:  
1

Total Funding Amount:  
\$1.3M

Number of Investors: 2

## What was Berg?

Berg was a cloud platform on which Little Printer, an Internet-of-Things device, worked. Berg allowed users to print out interesting news from the web, social media, etc. across devices. Little Printer looked like a receipt printer but could be used as a social letterbox, targeting mainly families. It produced little retro style printed papers that could be used for various purposes. The competitors of Berg's

Little Printer were Turtle Mail, Ink and Memo Bird.

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## Why did Berg fail and shut down?

Berg had an interesting journey from the boardroom to folding the business; they tried to change their business model a couple of times halfway through it but to no avail.

Besides the fact that the product that they created served a very limited market need (if ever a need was there), paper consumption and the creation of waste was an element that turned many people that cared about the environment away.

Berg's little Internet of Things device had a small group of supporters, which, while loyal, could not convert into a sustainable way to maintain and manage the business. People also argued that the advertisement put out by Berg failed to show how the little printer working on the Berg platform could improve users' life. It was, objectively speaking, more a luxury item/toy rather than a device that anyone would need.

While print newspapers are struggling to continue their existence, it was hard for Berg to convince people that they needed the Little Printer in their homes. Moreover, publishing content through the Little Printer would need to weigh in the design factor of the publisher's

needs. Only certain type of contents could fit on the receipt-size paper the device could print. Also, because of its size, the commercial sector would not be that interested in it.

However, people can be irrational and buy products on a whim only because they are cute and “new” but the price tag given to Little Printer made the product even more difficult to sell. Berg’s CEO also admitted that one of the main reasons for his company's failure was that they priced their products at above the level of consumer’s willingness to pay, \$259; pretty expensive for a toy.

## Go on Reading

- **FastCompany: Pioneering Design Consultancy Berg To Shut Down**
- **Pando: Berg shuts down after failed bid to connect Internet of Things companies**
- **Crunchbase: Berg**

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